

fund, a (time-varying but deterministic) combination of committed and managed capital, or even just a fixed dollar amount.

Other Fees

Portfolio company fees are fees associated with the private companies managed by the GPs. They are opaque and, because they are not directly reported, asset owners usually do not know how much GPs generate through these fees.⁴¹ These fees can be substantial. Whereas management fees are capped by the total commitment and carry is capped by the clawback, there is no limit on portfolio fees. A common transaction fee is 2%, sometimes charged both at entry and exit of a company, and monitoring fees are around 0.4%.⁴²

There are many incentive problems emanating from the way industry sets management fees.⁴³ Management fees are typically set on the *asset value* of companies, not *equity value*. This gives an incentive for PE funds to use more debt as it increases firm assets and thus maximizes fees. GPs also prefer to spin off companies in small parts, since they earn more fees on several small pieces rather than as a whole. The fact that these fees are transactions based, and not based on value-added, drives GPs to make more changes to companies than is optimal; every change GPs make to a company's capital structure increases their fees.

The total amount of fees is poorly disclosed in PE prospectuses. Phalippou (2009) finds that only 25% of funds report past performance net of fees, and those funds are typically the ones with the highest performance.

Side Letters

Some investors receive *side letters*, which are terms in addition to the standard contract (all investors receive the standard contract). The side letters can give some investors better terms, fee offsets, and other conditions. Lucky investors receive *most preferred nation* status, which states that no other investor can have better terms. It should be no surprise that an enduring relationship with a PE firm, or a lot of committed capital, brings better terms in side letters.

4.2. FEES, FEES, AND FEES

PE fees are very high.

Table 18.6 reports management and incentive fees (it ignores transactions fees) collected by GPs. These numbers are computed by Metrick and Yasuda (2010), who develop an economic model of PE. Out of every \$100 invested with a buyout fund, an average of \$18 in carry and management fees is paid to

⁴¹ Despite the opaqueness, of PE contracts, Litvak (2009) finds no relation between opaqueness and total compensation.

⁴² See Metrick and Yasuda (2010).

⁴³ See Phalippou (2009).